Uniform Residential Appraisal Report

456 SOMETHING RD, SOMEWHERE, VA 12345

SUMMARY

Opinion of Market Value	$775,000	**Market Value Condition**	As Is
Effective Date of Appraisal	09/08/2019	**Property Valuation Method**	Traditional Appraisal
Assignment Reason	Purchase	**Appraiser Name**	Agatha Appraiser
Borrower Name	Bob Borrower Betty Borrower		
Current Owner of Public Record	Jane Doe		
Contract Price	$765,000		
Listing Status	Pending		

Property Description

Construction Method	Site Built	**Overall Quality**	Q4
Attachment Type	Detached	**Overall Condition**	C4

	Yes	No
Planned Unit Development (PUD)	☐	☑
Condominium	☐	☑
Cooperative	☐	☑
Condop	☐	☑
Subject Site Owned in Common	☐	☑

Units Excluding ADUs	1
Accessory Dwelling Units	1
Property Rights Appraised	Leasehold

	Yes	No
Is the highest and best use of the subject property as improved (or as proposed per plans and specifications) the present use?	☑	☐

Zoning Compliance	Legal

This is where the Dwelling Front photo would display.

Apparent Defects, Damages, Deficiencies Requiring Action

None

Assignment Information

Assignment Reason	Purchase
Borrower Name	Bob Borrower
	Betty Borrower
Seller Name	Jane Doe
Current Owner of Public Record	Jane Doe

Property Valuation Method	Traditional Appraisal

	Yes	No
Was a Property Data Report used in lieu of an Inspection?	☐	☑

Appraiser Fee	$0

Contact Information

Client/Lender

Company Name	Empty Bank
Company Address	200 Tree St
	Somewhere, VA 12345

Appraisal Management Company

Company Name	IDK Appraisal Management Company
Company Address	300 Main Ave
	Somewhere, VA 12345

Credentials

ID	5419-2123.4
State	VA
Expires	04/30/2022

Appraiser

Name	Agatha Appraiser
Company Name	XYZ Appraisals
Company Address	123 Main St
	Nowhere, VA 12345

Credentials

Level	Certified Residential
ID	XYZ12345
State	VA
Expires	12/31/2019

Scope of Inspection by Appraiser

Subject Property Inspection

Exterior	Physical
Interior	Physical

Subject Property

Physical Address	456 Something Rd
	Somewhere, VA 12345
County	Fabricated
Neighborhood Name	Unreal Farms

	Yes	No
Planned Unit Development (PUD)	☐	☑
Condominium	☐	☑
Cooperative	☐	☑
Condop	☐	☑
Property on Native American Lands	☐	☑
Subject Site Owned in Common	☐	☑
Homeowner Responsible for all Exterior Maintenance of Dwelling(s)	☑	☐
New Construction	☐	☑

Attachment Type	Detached
Units Excluding ADUs	1
Accessory Dwelling Units	1
Dwellings Containing Units	1
Special Tax Assessments	No

Ownership Rights

Property Rights Appraised	Leasehold
Community Land Trust	No
Ground Rent Annual Amount	$1,200
Renewable	Yes
Expires	06/2099

All Rights Included in Appraisal	Yes

Description of Ground Rent and Impact to Value/Marketability Leasehold properties are common in the subject's immediate market area with most leases having automatic renewal terms of 50 or 100 years. The lease fees are generally minimal in comparison to property values and appear to have no impact on the value or marketability of the properties. The appraisal utilizes 3 sales of comparable leasehold properties from the subject's neighborhood in the sales comparison approach.

Subject Property *(continued)*

Legal Description

Unreal Farm S.1 PCL.300201121002432 F-895-4 BLA 3573702301420 Use agreement 71

Subject Property Commentary

Tax Map ID: 2000-61-726997/R128810

Site

Total Site Size	14,000 Sq. Ft.	**Number of Parcels**	1

Assessor Parcel Number (APN)	APN Description	Parcel Size
F-895-4	Land with Dwelling	14,000 Sq. Ft.

Zoning		Property Access	
Compliance	Legal	Primary Access	Public Street
Classification Code	R-01	Street Type and Surface	Asphalt Local Road
Classification Code Description	Residential - Single Family	Typical for Market	Yes

Site Influence

Influence	Proximity	Detail	Impact	Comment
Residential				Subject and all comparables are located in a residential area.

View and Impact to Value/Marketability

View	Range of View	Impact
(Primary) Residential	Full	Neutral

Site Features and Impact to Value/Marketability

Feature	Detail	Impact	Comment
Hazard Zone	No Hazard Zone Noted		
Site Characteristic	None		

Utilities and Impact to Value/Marketability

Broadband Internet Available Yes

	Public	Private	Detail	Private Utility Impact	Comment
Electricity	✓		Solar	Neutral	
Gas	✓			Neutral	
Sanitary Sewer	✓			Neutral	
Water	✓			Neutral	
	Public	Public		Neutral	

Apparent Defects, Damages, Deficiencies (Site)

None

Site Valuation Methodology

#	Address	County	Data Source	Assessor Parcel Number (APN)	Site Size	Sale Date	Price
			Assessor Record				
			MLS				
			Physical Measurement				
			MLS 134710				
			MLS 133832				
			MLS 134531				

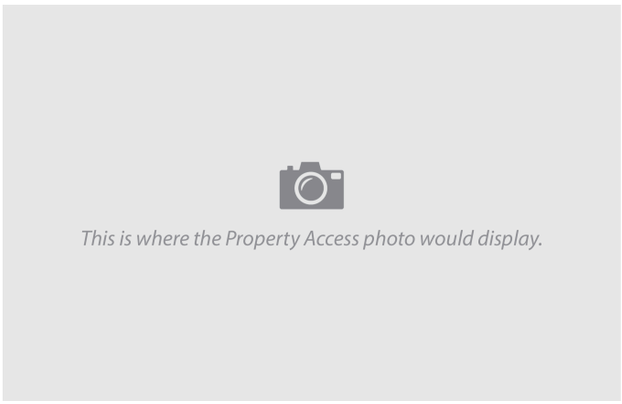
Site Commentary

Classification Code R-01

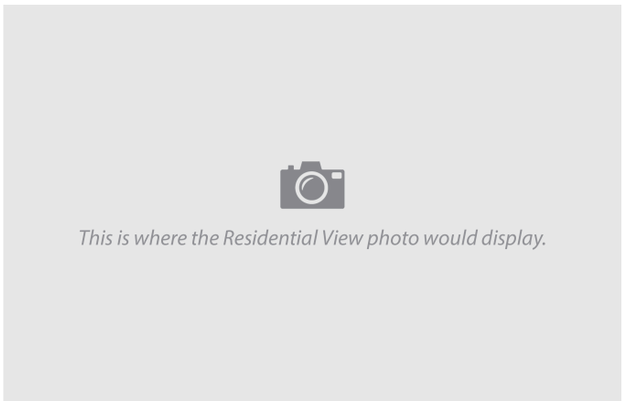
Site *(continued)*

Site Exhibits

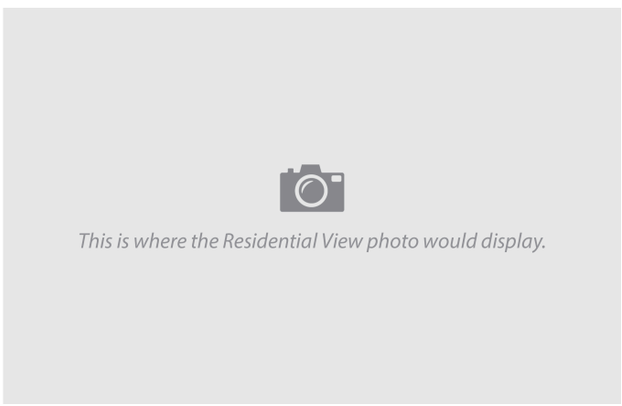
Property Access (Street Scene)



Site Influence



View Residential



Energy Efficient and Green Features

Renewable Energy Component	Ownership	Financing Arrangement
Solar	Leased	

Known Building Certifications None

Green/Energy Efficiency Rating Organization	Rating	Score
RESNET	HERS	65

Energy Efficient and Green Features Impact to Value/Marketability

Impact to Value/Marketability Neutral

Description The solar panels are leased and therefore not considered part of the real property. The lease is transferable when the subject is sold, however there is no measurable impact on value or marketability as the decision to transfer the lease would be the personal preference of any purchaser of the property.

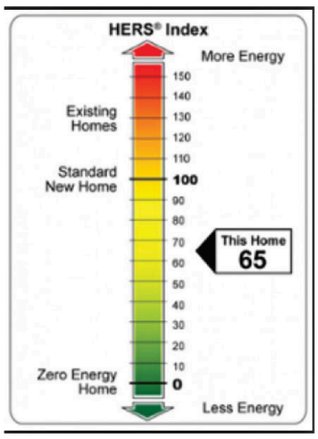
Energy Efficient and Green Features *(continued)*

Energy Efficient and Green Features Exhibits

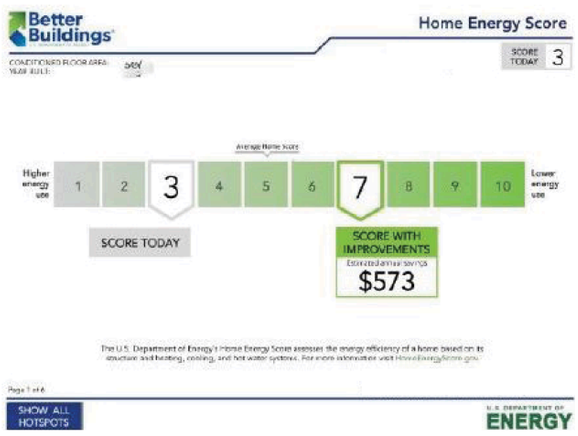
Solar Panels

This is where the Solar Panel photo would display.

HERS Score



DOE Score

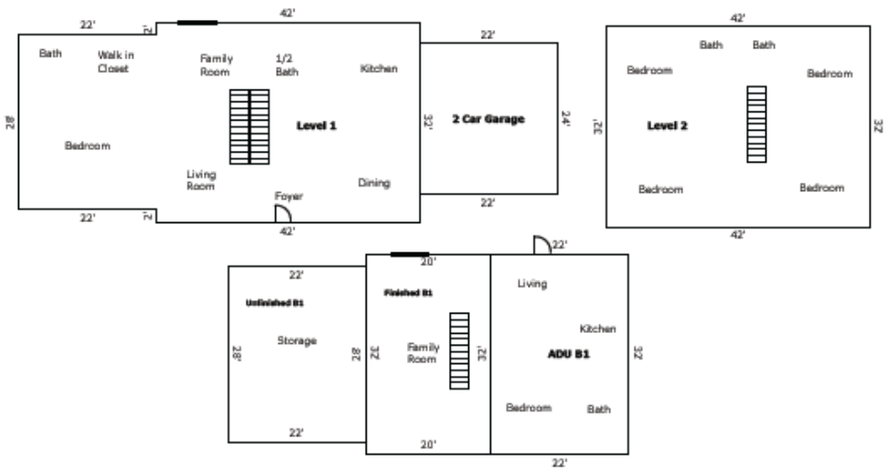


Sketch

Measurement Standard	ANSI
Property Photo	
Property Access	
Dwelling Front	
Sketch	
Sales Comparable Map	
Absorption Rate	
Median Days on Market	
Price Trend	
Site Influence	
View	
Dwelling Rear	

Sketch *(continued)*

Sketch



Area Calculations Summary

		Calculation Details
Level 1	1960 Sq ft	42 × 32 = 1344 22 × 28 = 616
Level 2	1344 Sq ft	42 × 32 = 1344
ADU B1	704 Sq ft	22 × 32 = 704
2 Car Garage	528 Sq ft	22 × 24 = 528
Unfinished B1	616 Sq ft	22 × 28 = 616
Finished B1	640 Sq ft	20 × 32 = 640

Dwelling Exterior

Subject Property Units in Structure	2
Dwelling Style	Colonial
Front Door Elevation	1-2 Ft.
Year Built	1979
Construction Method	Site Built
Converted Area	None

This is where the Dwelling Front photo would display.

Dwelling Exterior *(continued)*

Quality and Condition

Exterior Quality Rating Q4

Exterior Condition Rating C3

The table below supports the Exterior Quality and Condition ratings and reflects the market value condition of this report

Exterior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Exterior Walls and Trim		Quality meets market expectations for this type of dwelling.	Typical Wear and Tear	No damage or condition issues noted.
Foundation	Poured Concrete | Basement	Quality meets market expectations for this type of dwelling.	Typical Wear and Tear	No damage or condition issues noted.
Roof	10-20 years | Composition	Quality meets market expectations for this type of dwelling.	Typical Wear and Tear	No damage or condition issues noted.
Windows		Quality meets market expectations for this type of dwelling.	Typical Wear and Tear	No damage or condition issues noted.

Mechanical System Details

	System	Detail
Heating	Forced Warm Air	Electric
Cooling	Centralized	

Core Heating System Below Grade Yes ☑ No ☐

Apparent Defects, Damages, Deficiencies (Dwelling Exterior)

None

Dwelling Exterior Commentary

The exterior was recently painted, and new windows, shutters, and doors were installed.

Manufactured Home

Manufactured Home Exhibits

Primary Dwelling

Unit Interior - Primary Dwelling

Area Breakdown	
Finished Above Grade	3,304 Sq. Ft.
Finished Above Grade (Nonstandard)	0 Sq. Ft.
Unfinished Above Grade	0 Sq. Ft.
Finished Below Grade	640 Sq. Ft.
Finished Below Grade (Nonstandard)	0 Sq. Ft.
Unfinished Below Grade	616 Sq. Ft.
Below Grade Finish Compared to Above	Similar

ADU Yes ☐ No ☑

Levels in Unit	3
Floor Number	1
Occupancy	Vacant
Utilities Separately Metered	No
Total Bedrooms	5
Total Bathrooms - Full	3
Total Bathrooms - Half	1

Level and Room Detail

Level in Unit	Grade Level Detail	Finish	Area	Room Summary
Level B1	Interior and Exterior Access Walk Out Partially Below Grade		640 Sq. Ft. 616 Sq. Ft.	
Level 1				
Level 2				
				Family Room

Unit Interior - Primary Dwelling ***(continued)***

Quality and Condition

Interior Quality Rating Q4 **Interior Condition Rating** C4

The tables below support the Interior Quality and Condition ratings and reflect the market value condition of this report

Kitchen and Bathroom Details

Room	Update Status	Time Frame	Quality Comment	Condition Status	Condition Comment
Level B1 Family Room					

Overall Update Status for Bathrooms Moderately Updated

Interior Features

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Flooring				
Wet Bar	Wet bar with custom brick work.			
	Carpet	Standard grade	Typical Wear and Tear	Updated 5 years ago
	8 Ft.			
	Flat			

Overall Update Status for Flooring Moderately Updated

Accessibility Features for Individuals with Disabilities

Feature	Comment
None	

Apparent Defects, Damages, Deficiencies (Unit Interior - Primary Dwelling)

None

Unit Interior Commentary

The 1st floor primary bedroom bath was gut renovated approximately 2-3 years ago with upgrades to the shower, addition of a large soaking tub, upgraded ceramic tile in the shower and floors, custom built vanity with marble countertop and upgraded fixtures and lighting. The kitchen cabinets were re-faced, and new solid surface countertops installed along with new appliances and lighting fixtures. The carpet was replaced throughout approximately 5-6 years ago with upgraded carpet on the first floor (including primary bedroom) and below grade family room. The 2nd floor carpeting was also replaced, however with standard grade carpet.

Unit Interior Exhibits

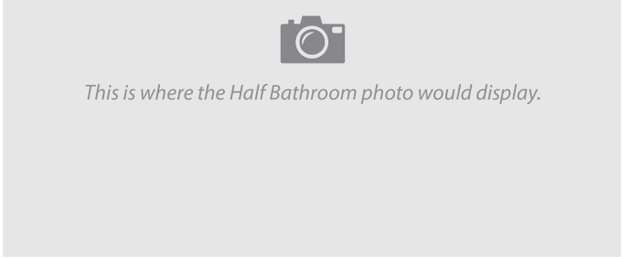
Bedroom 1

This is where the 1st Bedroom photo would display.

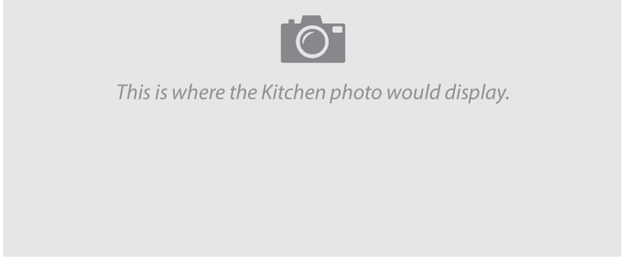
Bath 1

This is where the 1st Full Bathroom photo would display.

Unit Interior - Primary Dwelling *(continued)*

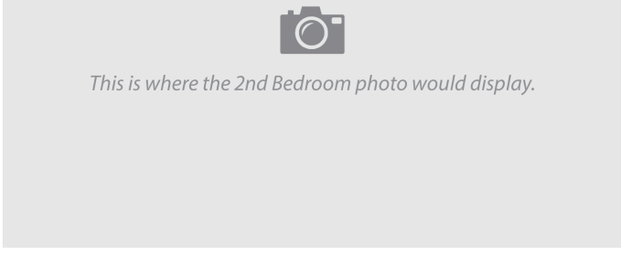


This is where the Half Bathroom photo would display.



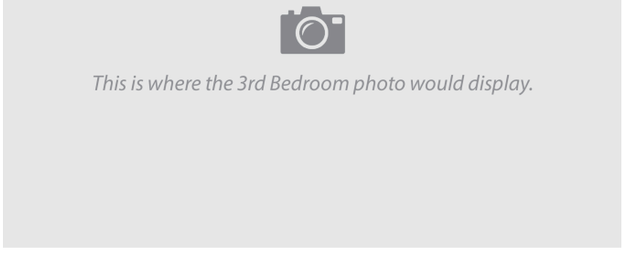
This is where the Kitchen photo would display.

Bedroom 2



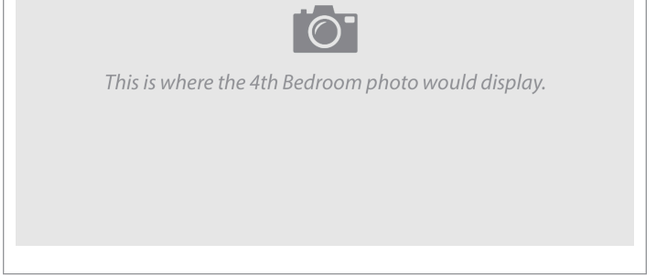
This is where the 2nd Bedroom photo would display.

Bedroom 3



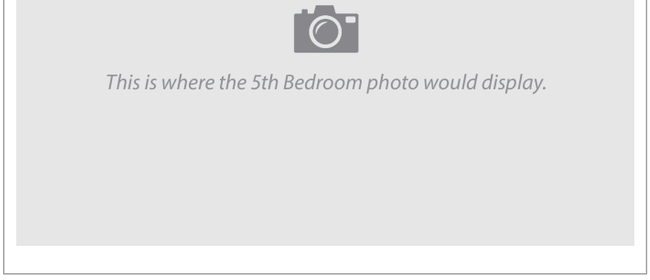
This is where the 3rd Bedroom photo would display.

Bedroom 4



This is where the 4th Bedroom photo would display.

Bedroom 5



This is where the 5th Bedroom photo would display.

Unit Interior - Primary Dwelling *(continued)*

Bath 2



Bath 3



Unit Interior - ADU

Area Breakdown	
Finished Above Grade	0 Sq. Ft.
Finished Above Grade (Nonstandard)	0 Sq. Ft.
Unfinished Above Grade	0 Sq. Ft.
Finished Below Grade	704 Sq. Ft.
Finished Below Grade (Nonstandard)	0 Sq. Ft.
Unfinished Below Grade	0 Sq. Ft.
Below Grade Finish Compared to Above	Similar

ADU	Yes	No
Legally Rentable	Yes	
Typical for Market	Yes	
Ingress/Egress	Exterior Access Only	
Separate Postal Address	No	

Levels in Unit	1
Floor Number	B1
Occupancy	Vacant
Utilities Separately Metered	No
Total Bedrooms	1
Total Bathrooms - Full	1
Total Bathrooms - Half	0

Level and Room Detail

Level in Unit	Grade Level Detail	Finish	Area	Room Summary
Level B1	Exterior Access Only Walk Out Partially Below Grade		704 Sq. Ft. 0 Sq. Ft.	Bedroom

Quality and Condition

Interior Quality Rating	Q4	**Interior Condition Rating**	C4

The tables below support the Interior Quality and Condition ratings and reflect the market value condition of this report

Kitchen and Bathroom Details

Room	Update Status	Time Frame	Quality Comment	Condition Status	Condition Comment
Level B1 Bedroom					

Overall Update Status for Bathrooms	Fully Updated

Interior Features

Unit Interior - ADU *(continued)*

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Flooring				
	Ceramic Tile	Standard grade - meets market expectations for this type of unit.	Typical Wear and Tear	No damage or condition issues noted.
	8 Ft.			
	Flat			

Overall Update Status for Flooring Fully Updated

Accessibility Features for Individuals with Disabilities

Feature	Comment
None	

Apparent Defects, Damages, Deficiencies (Unit Interior - ADU)

None

Unit Interior Commentary

The ADU was built-out within the past 5 -10 years with standard builder grade materials that are typical for accessory units in this market. The unit has been well maintained with no apparent defects, damages or deficiencies.

Unit Interior Exhibits

This is where the ADU Bedroom photo would display.

This is where the ADU Full Bathroom photo would display.

This is where the ADU Kitchen photo would display.

Functional Obsolescence

Functional Issues None

Vehicle Storage

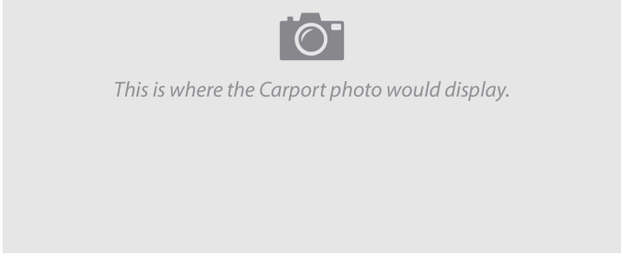
Carport

Storage	Number of Parking Spaces	Detail
Carport	2	400 Sq. Ft. Detached

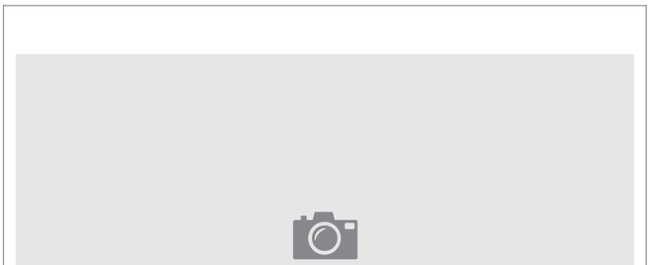
Apparent Defects, Damages, Deficiencies (Vehicle Storage)

None

Vehicle Storage Exhibits







Subject Property Amenities

Amenity Category	Subject Property Amenity	Material	Detail
Outdoor Living			
Water Features			
Whole Home			
	Deck	Wood	
	Deck	Wood	
	Patio	Concrete	
	Porch	Concrete	
	Inground Pool	Concrete	
	Indoor Fireplace		
	Wood Stove		
			Diving Board

Apparent Defects, Damages, Deficiencies (Subject Property Amenities)

None

Subject Property Amenities *(continued)*

Subject Property Amenities Exhibits

Deck 1 and Deck 2



This is where the Decks photo would display.

Deck 1 and Deck 2



This is where the Decks photo would display.



This is where the Patio photo would display.



This is where the Porch photo would display.

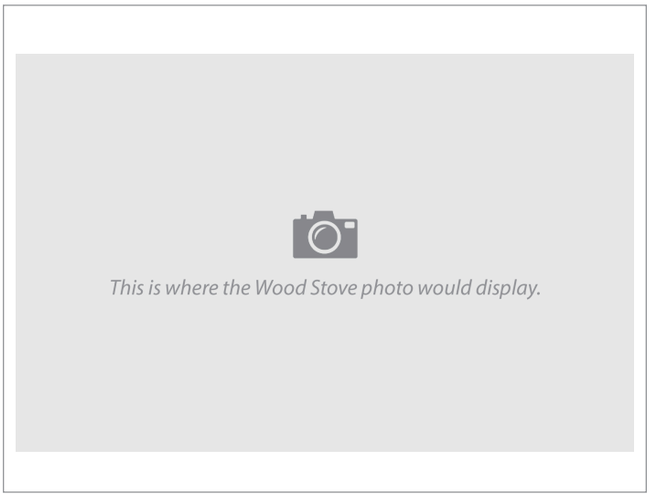


This is where the Inground Pool photo would display.



This is where the Indoor Fireplace photo would display.

Subject Property Amenities *(continued)*



Overall Quality and Condition

Overall Quality	Q4	**Overall Condition**	C4
Exterior Quality	Q4	Exterior Condition	C3
Interior Quality	Primary Dwelling | Q4	Interior Condition	Primary Dwelling | C4

Reconciliation of Overall Quality and Condition

The exterior was recently painted, and new windows, shutters and doors were installed. However, the overall condition was reconciled to C4 given the interior condition of the primary dwelling.

Highest and Best Use

Legally Permissible	Yes	**Financially Feasible**	Yes
Physically Possible	Yes	**Maximally Productive**	Yes

Yes

Market

Market Area Boundary Route 7 to the north, Route 611 to the east, and Route 50 to the south and west.

Search Criteria Description Limiting factors of the market search include leasehold, a Lot Size between 7,500 and 21,780 square feet, with a property containing an ADU. Above Grade Finished area of the primary dwelling in the range of 1,800 and 4,500 square feet, with between 3-5 bedrooms and 2-4 bathrooms. Vehicle Storage greater than or equal to a 2-car garage.

Search Result Metrics

Active Listings	15	**Sales in Past**	12
Median Days on Market	95	Months	34
Lowest List Price	$599,900	Lowest Sale Price	$599,900
Median List Price	$810,000	Median Sale Price	$810,000
Highest List Price	$875,000	Highest Sale Price	$949,999
Pending Sales	3	**Distressed Market Competition**	No
		Graph	Property Photo
			Property Access
			Dwelling Front
			Sketch
			Sales Comparable Map
			Absorption Rate
			Median Days on Market
			Price Trend
			Site Influence
			View
			Dwelling Rear

Market ***(continued)***

Housing Trends

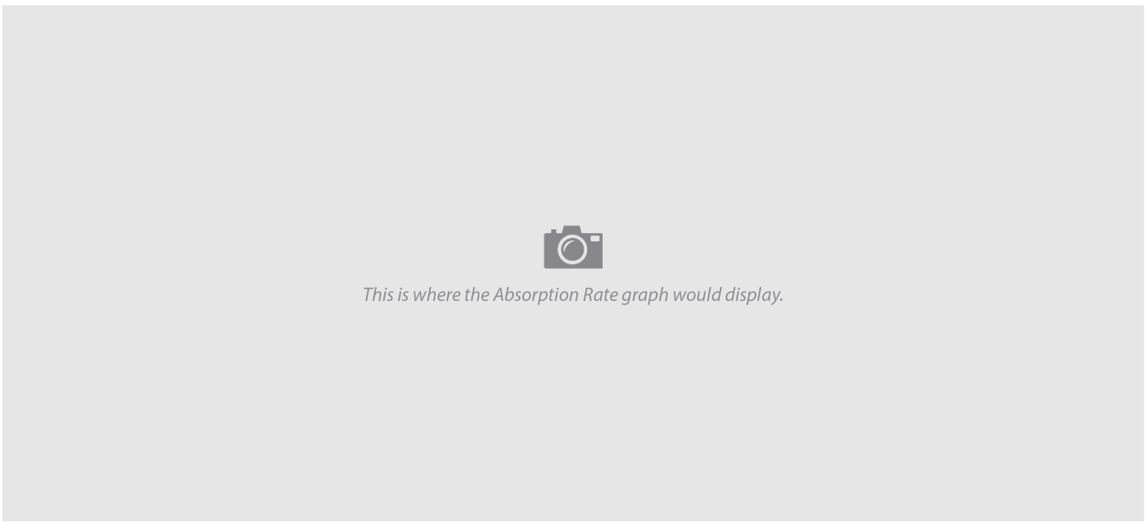
Demand/Supply	In Balance	**Marketing Time**	3 to 6 months

Market Commentary

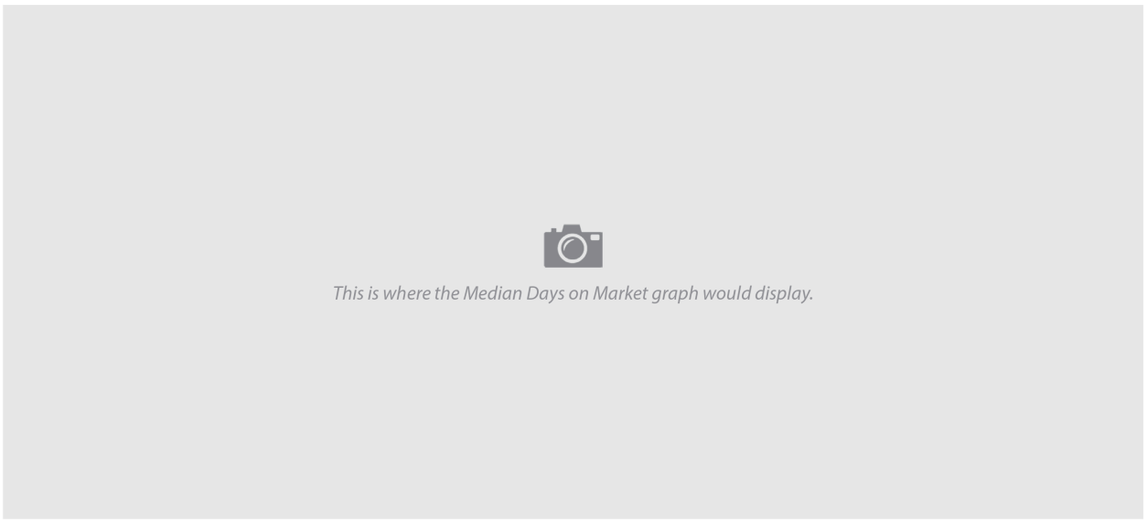
Sales prices have been steady to slightly rising at approximately 1.5% to 2.5% annually. Supply and demand are currently balanced. Days on Market for the settled sales were predominately in the 80-100 days range. Days on Market of current listings is trending higher than recent sales due to the market entering the typically slower fall and winter periods. Absorption rate is 3-4 sales per month with a 4-5 month supply. The XYZ MLS indicated 10 of 34 (29.4%) of the closed sales in the market area between 09/15/2018 and 09/15/2019 contained seller concessions. Concessions ranged between $1,000 and $25,000, and the median concession was $7,100. This level of concessions was determined to have minimal impact on the marketability or sale prices for properties considered competitive to the subject.

Market Exhibits

Absorption Rate

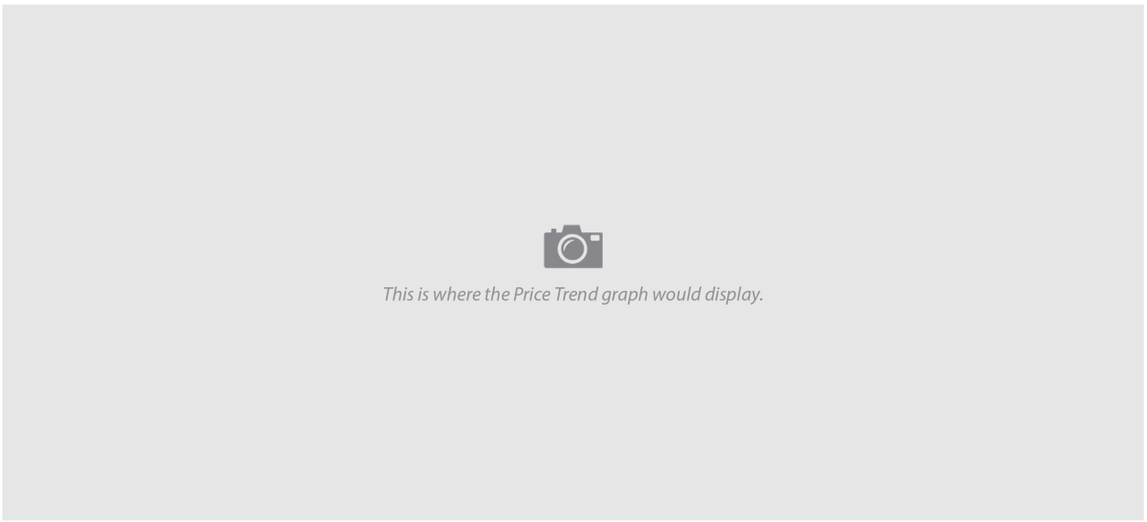


Median Days on Market



Market *(continued)*

Price Trend



Subject Listing Information

Current and/or relevant listings of the subject property (minimum 1 year look back)

Data Source	Assessor Record
	MLS
	Physical Measurement
	MLS
	MLS
	MLS

Listing Status	Listing Type	Listing ID	Start Date	End Date	DOM	Starting List Price	Current or Final List Price
Pending	MLS	XYZ 0387300	06/20/2019	09/08/2019	81	$825,000.00	$799,900.00
					Total DOM		81

Subject was listed on June 20th, 2019, with list price of $825,000. On July 31st, 2019, the price was reduced 3% to $799,900 and went under contract on 08/20/2019 for $765,000, which is approximately 7% below the original list price and within 5% of the final list price.

Sales Contract

	Yes	No
Is there a sales contract?	☑	☐
Was sales contract information analyzed?	☑	☐

Non-Arm's Length Commentary Yes

Personal property is not included in the appraiser's final opinion of value

Contract Price	$765,000
Contract Date	08/20/2019
Transfer Terms	Typically Motivated
Personal Property Conveyed	No

Financial Sales Concessions

Financial assistance paid by or on behalf of the seller as an inducement to purchase the subject property

Known Sales Concessions	No

Sales Contract Analysis

Sales contract is a reasonable and a typical arm's length sale. A fully executed copy of the contract was provided by the lender and anlayzed by the appraiser.

Prior Sale and Transfer History

Subject Transfer History

Prior sales and/or transfers of the subject property (minimum 3 year look back)

Data Source	Assessor Record
	MLS
	Physical Measurement

Prior Sale and Transfer History *(continued)*

	MLS
	MLS
	MLS

Transfer Terms	Date	Amount	Data Source
Typically Motivated	01/24/2013		
			Assessor Record
			MLS
			Physical Measurement
			MLS
			MLS
			MLS

Analysis of Prior Sale and Transfer History of Subject Property Since the prior sale, the kitchen has been updated with new counter tops, new appliances, and new lighting fixtures. And the primary bathroom on the first floor was fully updated and upgraded.

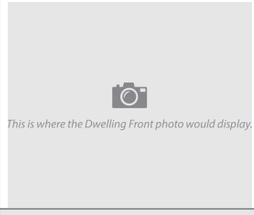
Comparable Transfer History

Prior sales and/or transfers of the comparable properties from the 'Sales Comparison Approach' section (minimum 1 year look back)

#	Transfer Terms	Date	Amount	Data Source
1				
2				
3				
	Typically Motivated	08/01/2019	$810,000.00	
	Typically Motivated	01/01/2019	$820,000.00	
	Typically Motivated	08/01/2019	$770,000.00	
	Non-MLS Sale			
				Assessor Record
				MLS
				Physical Measurement
				MLS
				MLS
				MLS

Analysis of Prior Sale and Transfer History of Comparable Sales Comp#1: Kitchen and Bathrooms have been upgraded and updated since the last sale.

Sales Comparison Approach

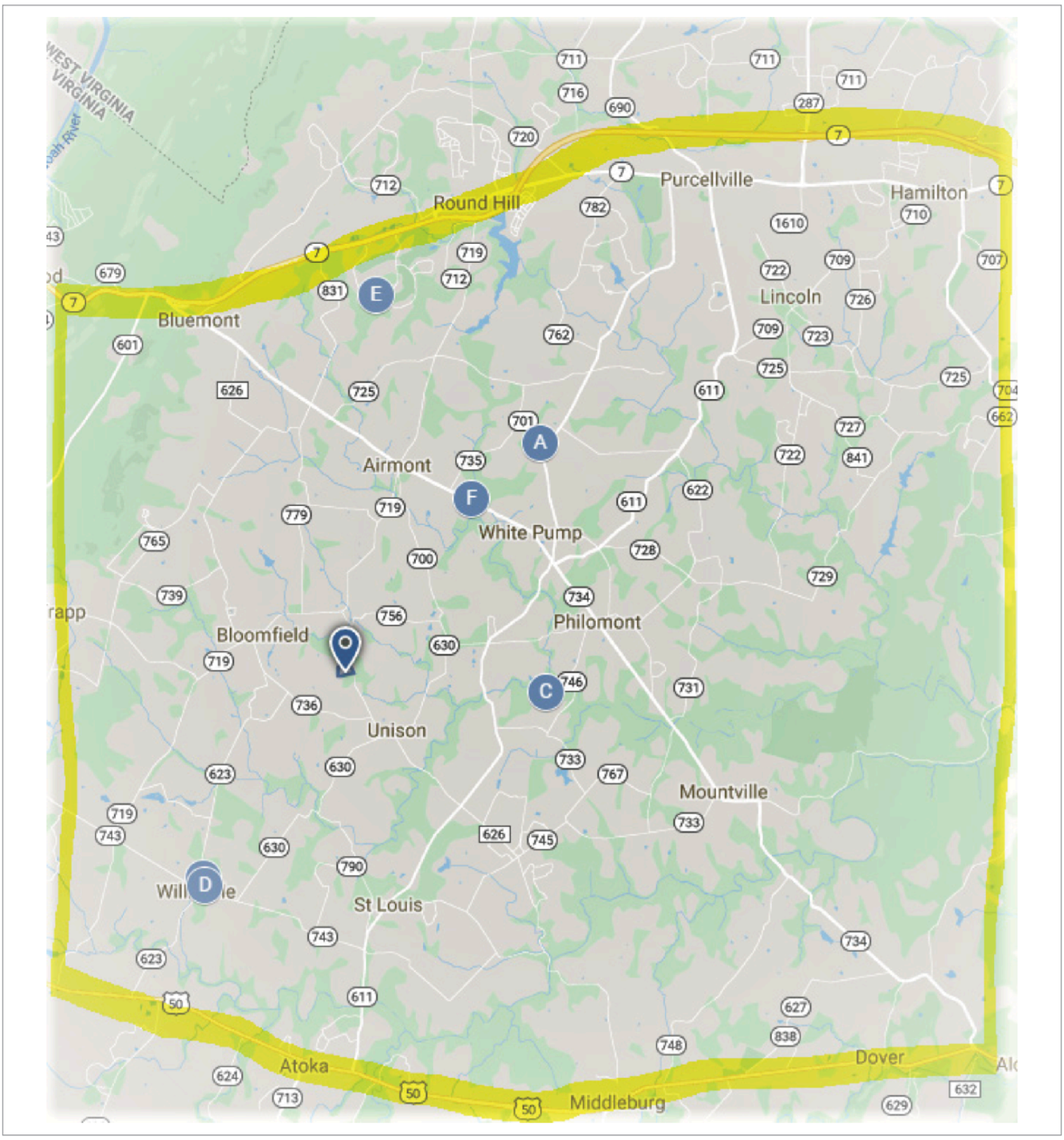
	Subject Property	Comparable #1		Comparable #2		Comparable #3	
General Information							
Property Address	456 Something Rd Somewhere, VA 12345 	35361 Place Rd Somewhere, VA 12345 		38243 Liberty Rd Somewhere, VA 12345 		35422 Peace Rd Somewhere, VA 12345 	
Data Source	—	Assessor Record | MLS 134710		Assessor Record | MLS 133832		Assessor Record | MLS 134531	
Proximity to Subject	—	N 0.90		E 0.56		N 0.40	
List Price	$799,900	$839,999		$839,900		$789,000	
Listing Status	Pending	Settled Sale		Settled Sale		Settled Sale	
Sale Price	—	$810,000		$820,000		$770,000	
Transfer Terms	—	Typically Motivated		Typically Motivated		Typically Motivated | Non-MLS Sale	
Sales Concessions	No	No		Unknown	$0	Unknown	$0
Contract Date	—	06/01/2019	$0	07/01/2018	$0	04/01/2019	$0
Sale Date	—	08/01/2019	$0	01/01/2019	$0	08/01/2019	$0
Days on Market	81		7		76		94
Attached/Detached	Detached	Detached		Detached		Detached	
Property Rights Appraised	Leasehold	Leasehold	$0	Leasehold		Leasehold	$0
Annual Ground Rent	$1,200		$1,250		$1,200		$1,000
Site							
Site Size	14,000 Sq. Ft.	19,600 Sq. Ft.	-$30,000	9,000 Sq. Ft.	$30,000	14,500 Sq. Ft.	$0
Street Type | Surface	Asphalt Local Road	Asphalt Local Road		Asphalt Local Road		Concrete Local Road	$0
Site Influence (Location)	Residential	Residential		Residential		Residential	
View | Range	Full Residential	Full Residential		Full Mountain	-$40,000	Full Residential	
Dwelling(s)							
Year Built	1979	1989	$0	1984	$0	1978	$0
Construction Method	Site Built	Site Built		Site Built		Site Built	
Dwelling Style	Colonial	Colonial		Colonial		Colonial	
Heating	Electric Forced Warm Air	Forced Warm Air		Forced Warm Air		Forced Warm Air	
Energy Efficient and Green Features							
Renewable Energy Component	Solar	None		Solar		None	
Efficiency Rating	HERS 65	None		HERS 65		None	
Unit(s)							
Structure ID | Unit ID	Primary Dwelling	Comp 1 Primary		Comp 2 Primary		Comp 3 Primary	
Location of ADU	Dwelling	Dwelling		Dwelling		Dwelling | ADU/Garage	$0
Floor Number	1	—		—		—	
Bedrooms	5	5		5		3	$0
Baths – Full | Half	3 1	3 1		3 1		2 1	$20,000
Finished Area Above Grade	3,304 Sq. Ft.	3,228 Sq. Ft.	$0	3,562 Sq. Ft.	-$20,640	3,256 Sq. Ft.	$0
Finished Area Above Grade (Nonstandard)	0 Sq. Ft.	—		—		—	
Unfinished Area Above Grade	0 Sq. Ft.	—		—		—	
Finished Area Below Grade	640 Sq. Ft.	1,000 Sq. Ft.	-$14,400	1,000 Sq. Ft.	-$14,400	1,200 Sq. Ft.	-$22,400
Finished Area Below Grade (Nonstandard)	0 Sq. Ft.	—		—		—	
Unfinished Area Below Grade	616 Sq. Ft.	614 Sq. Ft.	$0	200 Sq. Ft.	$2,700	428 Sq. Ft.	$3,760
Exterior Quality and Condition							
Quality	Q4	Q4		Q4		Q4	
Exterior Walls and Trim	Aluminum	Vinyl		Vinyl		Aluminum	
Roof	Composition	Composition		Composition		Composition	
Condition	C3	C3		C3		C3	
Interior Quality and Condition							
Structure ID | Unit ID	Primary Dwelling	Comp 1 Primary		Comp 2 Primary		Comp 3 Primary	
Quality	Q4	Q4		Q4		Q4	
Kitchen	—	Mid Grade Quality		Mid Grade Quality		Mid Grade Quality	
Overall Bathrooms	Mid Grade Finishes	Mid-High Grade Finishes		Mid Grade Finishes		Mid Grade Finishes	

Sales Comparison Approach *(continued)*

	Subject Property	Comparable #1		Comparable #2		Comparable #3	
Property Address	456 Something Rd Somewhere, VA 12345	35361 Place Rd Somewhere, VA 12345		38243 Liberty Rd Somewhere, VA 12345		35422 Peace Rd Somewhere, VA 12345	
Overall Flooring	Carpets, Tile, Hardwood	Carpet,Vinyl		Carpets, Tile, Hardwood		Carpets, Tile, Hardwood	
Walls and Ceiling	Carpets, Tile, Hardwood	Carpet,Vinyl		Carpets, Tile, Hardwood		Carpets, Tile, Hardwood	
Condition	C4	C3		C4		C4	
Kitchen	—	Fully Updated		Fully Updated		Partially Updated	
Overall Bathrooms	Moderately Updated	Fully Updated		Not Updated		Moderately Updated	
Overall Flooring	Moderately Updated	Fully Updated		Moderately Updated		Moderately Updated	
ADU Interior Quality and Condition							
Location of ADU	Dwelling	Dwelling		Dwelling		Dwelling | ADU/Garage	
Quality	Q4	Q4		Q4		Q4	
Kitchen	—	Mid Grade Quality		Mid Grade Quality		Mid Grade Quality	
Overall Bathrooms	Mid Grade Finishes	Mid-High Grade Finishes		Mid Grade Finishes		Mid Grade Finishes	
Overall Flooring	Carpets, Tile, Hardwood	Carpet,Vinyl		Carpets, Tile, Hardwood		Carpets, Tile, Hardwood	
Walls and Ceiling	Carpets, Tile, Hardwood	Carpet,Vinyl		Carpets, Tile, Hardwood		Carpets, Tile, Hardwood	
Condition	C4	C3		C4		C4	
Kitchen	—	Fully Updated		Fully Updated		Partially Updated	
Overall Bathrooms	Moderately Updated	Fully Updated		Not Updated		Moderately Updated	
Overall Flooring	Moderately Updated	Fully Updated		Moderately Updated		Moderately Updated	
Overall Quality and Condition (Ratings: 1-6, 1 is highest)							
Quality	Q4	Q4		Q4		Q4	
Condition	C4	C3	-$45,000	C4		C4	
Property Amenities							
Outdoor Living	Deck | Deck | Patio | Porch	Deck | Patio | Porch	$5,000	Deck | Deck | Patio | Porch		Deck | Patio	$10,000
Water Features	Inground Pool | Diving Board	—	$20,000	Inground Pool	$0	Inground Pool | Diving Board	
Vehicle Storage							
Type| Spaces | Detail	400 Sq. Ft. Detached Carport 2	Driveway Asphalt 6		Driveway Asphalt 6		Driveway Asphalt 4	
Outbuilding (ADU and vehicle storage are not included in Finished Area, Unfinished Area, or room counts)							
Outbuilding Type	—	—		—	-$16,000	ADU/Garage	-$5,000
Utilities	—	—		Electricity		Electricity	
Summary							
List Price	$799,900 Pending	$839,999		$839,900		$789,000	
Sale Price	—	$810,000		$820,000		$770,000	
Net Adjustment Total	—	-$56,240		-$45,180		$7,020	
Price Per Finished Area Above Grade	—	$217		$230		$198	
Adjusted Price	—	$753,760		$774,820		$777,020	
Comparable Weight	—	Less		Most		Most	

Sales Comparison Approach *(continued)*

Sales Comparison Map



Reconciliation

Approaches to Value

	Sales Comparison Approach	Income Approach	Cost Approach
Indicated Value	$775,000		
Reason for Exclusion		Not Necessary for Credible Results	Not Necessary for Credible Results

Appraisal Summary

Contract Price	$765,000	**Reasonable Exposure Time**	60-90 days
Opinion of Market Value	$775,000	**Effective Date of Appraisal**	09/08/2019
Market Value Condition	As Is		

Reconciliation *(continued)*

Reconciliation of Market Value

Utilize this subsection for additional commentary as required by USPAP.

Apparent Defects, Damages, Deficiencies

None

Supplemental Information

Supplemental Information Exhibits

This appraisal report is subject to the following scope of work, intended use, intended user, definition of market value, statement of assumptions and limiting conditions, and certifications. Modifications, additions, or deletions to the definition of market value or assumptions and limiting conditions are not permitted. The appraiser may expand the scope of work to include any additional research or analysis necessary based on the complexity of this appraisal assignment. Modifications or deletions to Intended Use, Intended User, and the certifications are also not permitted. However, additional Intended Use, Intended User, and certifications that do not constitute material alterations to this appraisal report, such as those required by law or those related to the appraiser's continuing education or membership in an appraisal organization, are permitted.

Scope of Work

The scope of work for this assignment is based on the applicable assignment elements, including: the client and any other intended users, the intended use, the definition of market value that follows, the effective date, the subject property and its relevant characteristics, and the applicable assignment conditions. The appraiser must, at a minimum: (1) obtain and review adequate and reliable information for the subject property; (2) research, verify, and analyze adequate and reliable data for the subject market area including data for each comparable property reported; and (3) report his or her analyses, opinions, and conclusions in this appraisal report.

Intended Use

The intended use of the opinions and conclusions contained in this appraisal report is for the intended user to evaluate the property that is the subject of this appraisal for a mortgage finance transaction or related activities.

Intended User

The intended user of this report is the lender/client.

FHA and the Mortgagee are the intended users of this report.

The USDA and any other identified lender/client are intended users of this report.

The VA is also an intended user of this report.

Definition of Market Value

The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale with the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and each acting in what he or she considers his or her own best interest; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions* granted by anyone associated with the sale.

*Adjustments to the comparables must be made for special or creative financing or sales concessions. No adjustments are necessary for costs that are normally paid by sellers as a result of tradition or law in a market area; these costs are readily identifiable because the seller pays these costs in virtually all sales transactions. Special or creative financing adjustments can be made to the comparable property by comparisons to financing terms offered by a third-party institutional lender that is not already involved in the property or transaction. Any adjustment should not be calculated on a mechanical dollar-for-dollar cost of the financing or concession, but the dollar amount of any adjustment should approximate the market's reaction to the financing or concessions based on the appraiser's judgment.

Statement of Assumptions and Limiting Conditions

The appraiser assumes that the title is good and marketable unless he or she becomes aware of information to the contrary.

If the appraiser has included a sketch or floor plan in this appraisal report, it shows the approximate dimensions and is included only to assist the reader in visualizing the property and understanding the appraiser's determination of its size.

The appraiser has relied on data provided by third parties in this appraisal report. Such data may include, but is not limited to, floor plans, flood maps, multiple listing real estate services, tax assessment records, public land records, satellite imagery, virtual street views, property data services, surveys, engineering reports, and property data aggregations. After examination of the data and data sources, the appraiser has used only the data he or she considers reliable. The appraiser assumes there are no material omissions in the data relied upon and makes no guarantees, express or implied, regarding their accuracy. If the source date is prior to the effective date of the appraisal, the appraiser assumes the property characteristics and supporting information have not changed in the interim.

Supplemental Information *(continued)*

The appraiser will not be required to give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand, or as otherwise required by law.

The appraiser has noted in this appraisal report any adverse conditions (such as needed repairs, deterioration, the presence of hazardous wastes, toxic substances, etc.) that the appraiser became aware of during the development of this appraisal. Unless otherwise stated in this appraisal report, the appraiser has no knowledge of any hidden or unapparent physical deficiencies or adverse conditions of the property (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that would make the property less valuable, and assumes that there are no such conditions and makes no guarantees or warranties, express or implied. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, this appraisal report must not be considered as an environmental assessment of the property.

Certifications

Appraiser Certifications

The Appraiser certifies and agrees that:

I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.

I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.

I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.

I did not base any part of my appraisal on the actual or perceived race, color, religion, sex (including sexual orientation or gender identity), age (other than as applicable for legally age-restricted communities), marital status, disability, familial status, or national origin of the present or prospective owners or occupants of either the subject property or properties in the area of the subject property or on any other basis prohibited by the Fair Housing Act or the Equal Credit Opportunity Act, or any other basis prohibited by law.

I stated in this appraisal report my own personal, unbiased, and professional analyses, opinions, and conclusions, which are subject only to the assumptions and limiting conditions in this appraisal report.

I have, at a minimum, developed and reported this appraisal in accordance with the scope of work requirements stated in this appraisal report.

I meet the credential requirements for this assignment as of the date of this appraisal report and have knowledge and experience in appraising this type of property in this market area.

I am aware of, and have access to, the necessary and appropriate public and private data sources, such as multiple listing services, tax assessment records, public land records, and other such data sources for the area in which the property is located.

I obtained the information, estimates, and opinions furnished by other parties and expressed in this appraisal report from reliable sources that I believe to be true and correct.

I personally performed an onsite inspection of the interior and exterior areas of the subject property. I reported the readily observable condition of the improvements in factual, specific terms. I identified and reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I personally performed an inspection of the exterior areas of the subject property from at least the street. I reported the readily observable condition of the improvements in factual, specific terms. I reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I did not personally perform an onsite inspection of the subject property as part of this appraisal assignment. I reported the condition of the improvements in factual, specific terms, relying on subject property information data sources I considered reliable. I reported any known physical deficiencies that could affect the soundness or structural integrity of the property.

I performed this appraisal in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.

Using information available in the normal course of business, I researched, verified, analyzed, and reported on any current agreement for sale for the subject property, any offering for sale of the subject property in the twelve months prior to the effective date of this appraisal, and the prior sales of the subject property for a minimum of three years prior to the effective date of this appraisal.

Using information available in the normal course of business, I researched, verified, analyzed, and reported on the prior sales of the comparable sales for a minimum of one year prior to the date of sale of the comparable sale.

I based my valuation on the available properties that are most similar to the subject property.

I have not used comparable sales that were the result of combining a land sale with the contract purchase price of a home that has been built or will be built on the land.

I have identified the differences between the subject and comparable properties, analyzed the market reaction to those differences, and

Certifications *(continued)*

reflected those differences in the analysis.

To the extent possible, I verified, from a disinterested source, all information in this report that was provided by parties who have a financial interest in the sale or financing of the subject property.

I have taken into consideration the factors that have an impact on value with respect to the subject property, and its location, including its proximity to adverse influences in the development of my opinion of market value. I have noted in this appraisal report any adverse conditions (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that I became aware of during the development of this appraisal. I have considered these adverse conditions in my analysis of the property value and have reported on the effect of the conditions on the value and marketability of the subject property.

I have not knowingly withheld any significant information from this appraisal report and, to the best of my knowledge, all statements and information in this appraisal report are true and correct.

My employment and/or compensation for performing this appraisal or any future or anticipated appraisals was not conditioned on any agreement or understanding, written or otherwise, that I would report (or present analyses supporting) a predetermined specific value, a predetermined minimum value, a range or direction in value, a value that favors the cause of any party, or the attainment of a specific result or occurrence of a specific subsequent event (such as approval of a pending mortgage loan application).

I personally prepared all conclusions and opinions about the real estate that were set forth in this appraisal report. No one provided significant real property appraisal assistance.

I personally prepared conclusions and opinions about the real estate that were set forth in this appraisal report.

provided significant real property appraisal assistance in the development of this report. I certify that any individual so named is qualified to perform the assistance.

I have not authorized anyone to make a change to any item in this appraisal report; therefore, any change made to this appraisal is unauthorized and I will take no responsibility for it.

I identified the lender/client in this appraisal report who is the individual, organization, or agent for the organization that ordered and will receive this appraisal report.

I am aware that any disclosure or distribution of this appraisal report or any of its contents by me or by the lender/client may be subject to certain laws and regulations. Further, I am also subject to the provisions of the Uniform Standards of Professional Appraisal Practice that pertain to disclosure or distribution by me.

The lender/client may disclose or distribute this appraisal report to: the borrower; another lender at the request of the borrower; the mortgagee or its successors and assigns; mortgage insurers; government sponsored enterprises; other secondary market participants; data collection or reporting services; professional appraisal organizations; any department, agency, or instrumentality of the United States; and any state, the District of Columbia, or other jurisdictions. Any of the foregoing persons or entities who receive this appraisal report may choose to store, copy, reproduce, analyze, use and distribute the data in the appraisal report for internal or external purposes without having to obtain the appraiser's or supervisory appraiser's (if applicable) consent. Consent must be obtained before this appraisal report may be disclosed or distributed to any other party (including, but not limited to, the public through advertising, public relations, news, sales, or other media). A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

The borrower, another lender at the request of the borrower, the mortgagee or its successors and assigns, mortgage insurers, government sponsored enterprises, and other secondary market participants may choose to rely on this appraisal report as part of any mortgage finance transaction that involves any one or more of these parties. A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.

If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.

Any intentional or negligent misrepresentation(s) contained in this appraisal report may result in civil liability and/or criminal penalties including, but not limited to, fine or imprisonment or both under the provisions of Title 18, United States Code, Section 1001, et seq., or similar state laws.

I have not performed any service regarding the subject property within the three years preceding the agreement to perform this assignment.

I have performed services regarding the subject property within the three years preceding the agreement to perform this assignment.

Supervisory Appraiser Certifications

The Supervisory Appraiser certifies and agrees that:

I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.

I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.

Certifications *(continued)*

I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.

I directly supervised the appraiser for this appraisal assignment, have read the appraisal report, and agree with the appraiser's analyses, opinions, statements, conclusions, and the appraiser's certification.

The assignment information regarding the scope of inspection by the Supervisory Appraiser is correct.

I accept full responsibility for the contents of this appraisal report including, but not limited to, the appraiser's analyses, opinions, statements, conclusions, and the appraiser's certification.

The appraiser identified in this appraisal report is either a subcontractor or an employee of the supervisory appraiser (or the appraisal firm), is qualified to perform this appraisal, and is acceptable to perform this appraisal under the applicable law.

This appraisal report complies with the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.

If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.

Signature

[Role] Appraiser

Level	Certified Residential
ID	XYZ12345
State	VA
Expires	12/31/2019

09/08/2019

[Contact Name] Agatha Appraiser

Date of Signature and Report